SCHEDULE 10: Consolidated Statement of Operations: Revenue

General Instructions

Schedule 10 is divided into four sections. The first section reports total revenues of the municipality.

The second section presents the continuity of accumulated surplus/deficit for the current year and the accumulated surplus or deficit at the beginning of the year and at the end of the year.

The third section, Continuity of Government Business Enterprise Equity, is a continuity section which presents the government business enterprise equity at the beginning and end of the year.

The fourth section captures the provincial and federal gas tax reported in Schedule 12.

Schedule 10 is a summary schedule. It is completed after Schedules 20 to 28, 72 and 12, schedules that report taxes, taxes receivable and current revenue for specific functions. Data from those schedules automatically populates several lines in Schedule 10. Where data is carried forward, an SLC (schedule, line, and column) reference appears after the caption for the line, indicating the source of the data.

The following items are automatically carried forward from other schedules:

Property Tax:

Taxation - Own purposes
Payments-in-lieu of taxation

Government Transfers:

Ontario conditional grants
Ontario Grants for Tangible Capital Assets
Canada conditional grants
Canada Grants for Tangible Capital Assets
Deferred revenue earned (Provincial Gas Tax)
Deferred revenue earned (Canada Gas Tax)

Other Revenue:

Revenue from other municipalities
Revenue from other municipalities for Tangible Capital Assets
User fees and service charges
Deferred revenue earned (Development charges)
Deferred revenue earned (Recreation land (The Planning Act))
Donated Tangible Capital Assets
Other Revenue

Total Revenues

REVENUE: PROPERTY TAX

Line 0299 Taxation - Own Purposes (SLC 26 9199 04 - 72 2899 07 for LT/ST, and 28 0299 12 - 28 0299 08 for UT)

For lower-tier and single-tier municipalities, Taxation - Own purposes is automatically calculated and consists of total taxes before adjustments in Schedule 26 less tax adjustments before allowances in Schedule 72 (SLC 26 9199 04 less SLC 72 2899 07).

Total taxes before adjustments consist of the total levied by tax rate plus amounts added to the tax bill. Total taxes before adjustments are carried forward from Schedule 26, Taxation and Payments-in-Lieu Summary (SLC 26 9199 04).

Tax adjustments before allowances are also used in the equation and are carried forward from Schedule 72, Continuity of Taxes Receivable (SLC 72 2899 07).

For an upper-tier, Taxation - Own purpose is automatically calculated from data in Schedule 28, Upper-tier Entitlements, and represents total upper-tier entitlements less payments-in-in-lieu (SLC 28 0299 12 less SLC 28 0299 08).

Note that total upper-tier entitlements reported in column 12 (Total) are net of upper-tier tax adjustments.

Line 0499 Payments-In-Lieu of Taxes (SLC 26 9599 08 for LT/ST, or SLC 28 0299 08 for UT)

For a lower-tier or single-tier municipality, payments-in-lieu of taxes are automatically carried forward from total payments-in-lieu of taxes in Schedule 26, Taxation and Payments-in-Lieu of Summary (SLC 26 9599 08).

For an upper-tier municipality, payments-in-lieu of taxes are automatically carried forward from total payments-in-lieu of taxes in Schedule 28, Upper -tier Entitlements (SLC 28 0299 08).

Line 9940 Subtotal

Total of lines 0299 Taxation own purpose plus 0499 Payments-In-Lieu.

Line 0510 Estimated tax revenue

Estimated tax revenue includes amounts recognized using management's best estimate according to Section *PS 3510 Tax Revenue*, which are not included in lines 0299 and 0499. PS 3510 guides municipalities that taxes should be recognized as revenue when they are authorized, and the taxable event has occurred. In other words, municipalities are guided to accrue taxes in the current period if taxes will eventually be billed which will cover the current period. Municipalities would only recognize tax revenue that it expects to collect in accordance with the general recognition criteria in PS 1000.55.

PS3510 also guides municipalities to evaluate the likelihood of having to repay taxes collected and recognize a liability when required in accordance with Section PS 3200.

Ontario Unconditional Grants

Line 0620 Ontario Municipal Partnership Fund (OMPF)

Please report your municipality's Ontario Municipal Partnership Fund entitlement.

Line 0625 Ontario Cannabis Legalization Implementation Fund (OCLIF)

Please report your municipality's cannabis legalization entitlement.

Line 0695 Other

Please report any advances received under the Ontario Municipal Partnership Fund.

Line 0696 Other**:** Please identify any other unconditional grants received.

Line 0697 Other: Please identify any other unconditional grants received.

Line 0698 Other: Please identify any other unconditional grants received.

Line 0699 Subtotal

The subtotal for Ontario unconditional grants is equal to the sum of lines 0620 through 0698.

Conditional Grants

Line 0810 Ontario conditional grants

The total for Ontario conditional grants is automatically carried forward from Schedule 12, Grants & User Fees and Service Charges (SLC 12 9910 01).

Line 0815 Ontario grants for tangible capital assets

The total for Ontario grants for tangible capital assets is automatically carried forward from Schedule 12, Grants & User Fees and Service Charges (SLC 12 9910 05)

Line 0820 Canada conditional grants

The total for Canada conditional grants is automatically carried forward from Schedule 12, Grants & User Fees and Service Charges (SLC 12 9910 02).

Line 0825 Canada grants for tangible capital assets

The total for Canada grants for tangible capital assets is automatically carried forward from Schedule 12, Grants & User Fees and Service Charges (SLC 12 9910 06).

Line 0830 Deferred revenue earned (Provincial Gas Tax)

This line is automatically populated from schedule 60-line 1042 column 1 + Schedule 60 Line 1045 Column 1.

Line 0831 Deferred revenue earned (Canada Gas Tax)

This line is automatically populated from schedule 60-line 1047 column 1.

Line 0899 Subtotal

The subtotal for conditional grants equals the sum of lines 0810 through 0831.

Line 1098 Revenue from Other Municipalities for tangible capital assets (SLC 12 9910 07)

Total revenue received from other municipalities for tangible capital asset automatically carried forward from Schedule 12, Grants & User Fees and Service Charges **(SLC 12 9910 07)**

Line 1099 Revenue from Other Municipalities (SLC 12 9910 03)

Total revenue received from other municipalities is automatically carried forward from Schedule 12, Grants & User Fees and Service Charges (SLC 12 9910 03).

Note that revenue from other municipalities includes direct water billings and sewer surcharges raised from other municipalities.

Line 1299 User Fees and Service Charges (SLC 12 9910 04)

This line represents total user fees and service charges, generated within your municipality and includes direct water billings and sewer surcharges.

Total user fees and service charges are automatically carried forward from Schedule 12, Grants & User Fees and Service Charges (SLC 12 9910 04). Please see the instructions to Schedule 12 for a definition of user fees and service charges.

Development charges are not reported as revenue in Schedule 10. These contributions should be entered as deferred revenue in Schedule 60, Continuity of Reserves and Reserve Funds, lines 0610 through 0630, column 1 (Obligatory reserve funds/deferred revenue).

Licences, Permits, Rents, Etc.

Report revenue in this section which is not reported as user fees and service charges in Schedule 12, column 4 (User fees and service charges).

Line 1410 Trailer revenue and permits

Include licenses, permits and other fees which pertain to trailers.

Line 1420 Licenses and permits

Include licenses and permits issued by the municipality. Examples: taxi licenses, vendor licenses, building permits.

Line 1430 Rents, concessions and franchises

All rents, concessions and franchises should be reported on this line.

Do not report these items in Schedule 12, Grants & User Fees and Service Charges.

Rentals are amounts received or receivable for the letting of municipally owned property. Rentals should not be confused with a sale of service. In the sale of a service, the vendor is actively engaged in providing a service to another party. In a rental situation, the owner permits another party to use municipal assets, such as:

1. Engineering structures, includes a broad range of physical structures owned by a municipality.

2. Buildings and land, Includes the rental of land, living accommodation, office, storage or other building space.

3. Machinery and equipment

Concessions and franchises are privileges or rights granted in respect of municipal functions, activities or responsibilities. Concessions and franchises are similar and may be hard to distinguish from one another. Franchises tend to be essential services of a general nature. Concessions tend to be service conveniences and the public generally has alternative choices.

A fairly common feature of franchise agreements especially, is the provision for payments over and above the agreed upon franchise fee. Any such payment which is clearly not a business tax or licence fee should be recorded here.

Examples: concessions and franchises from private fairs, circuses, cafeterias in municipal buildings, electric and natural gas utilities, etc.

Line 1431 Royalties

Enter royalty revenues on this line. For example, aggregate resources revenues.

Line 1432 Green Energy

Enter green energy revenues on this line. For example, solar and wind power revenues.

Line 1498 Other

Enter the amount and description of other sources of other revenues from licences, permits, rents etc.

Line 1499 Subtotal

The subtotal for licenses, permits, rents, etc. is equal to the sum of lines 1410 through 1498.

Fines and Penalties

Line 1605 Provincial Offences Act (POA)

Municipalities which administer the Provincial Offences Act, report fines collected on line 1605. POA expenses are reported in Schedule 40 in SCL 40 0460 xx.

Municipalities which do not administer the Provincial Offences Act but receive a share of POA revenues from other municipalities, report the revenue in SLC 12 0460 03.

Line 1610 Other Fines

Report other fines collected by the municipality.

Line 1620 Penalties and interest on taxes

Enter penalties and interest on late payment of taxes.

Line 1698 Other

Enter other fines collected by the municipality.

Line 1699 Subtotal

The subtotal for fines and penalties is the sum of lines 1605, 1610, 1620 and 1698.

Other Revenue

This section refers to other revenue, including investment income, donations, sale of publications and equipment, contributions from non-consolidated entities, revenue from government business enterprises, revenue from the Ontario Lottery and Gaming Corporation, revenue related to ambulance dispatch and other. Revenue reported in this section is not reported in Schedule 12, Grants, User Fees and Service Charges.

Line 1805 Investment income

This line refers to interest income generated on all fund balances from all sources such as bank deposits, promissory notes, etc.

Include investment income from consolidated local boards.

Line 1806 Interest earned on reserves and reserve funds

This line refers to interest income generated from reserves and reserve funds.

Line 1811 Gain/Loss on sale of land & capital assets

Enter the gain on the sale of land and other capital assets on this line. OR
Enter the loss on the sale of land and other capital assets on Schedule 40 column 5 (Rents and Financial Expenses)

Line 1812 Deferred revenue earned (Development charges)

This line is automatically populated from Schedule 60-line 1025 column 1 + schedule 60-line 1035 column 1.

Line 1813 Deferred revenue earned (Recreational land (The Planning Act))

This line is automatically populated from Schedule 60-line 1032 column 1 + Schedule 60-line 1035 column 1.

Line 1814 Other: Deferred revenue earned

Please specify. Enter other deferred revenue earned.

Line 1830 Donations

Enter donations on this line.

Do not report donated Tangible Capital Assets on this line.

Line 1831 Donated Tangible Capital Assets (SLC 53 0610 01)

Donated Tangible Capital Assets are automatically populated from Schedule 53-line 0610 column 1.

Line 1840 Sale of publications, equipment, etc.

Enter amounts from the sale of publications, etc.

Where significantly high cost items are purchased for resale, report the selling price here and the cost of goods sold in Schedule 40, Statement of Operations: Expenses, column 3 (Materials).

Note that the FIR will not balance if the cost of goods sold is reported in Schedule 40 and the selling price is not reported here.

Line 1850 Contributions from non-consolidated entities

Enter contributions from non-consolidated entities on this line. For example, trusts.

Line 1865 Other revenues from government business enterprise (i.e. Dividends, etc.)

Report revenue received from the municipality's business government enterprises including dividends, interest income, etc.

Report the net income from business government enterprise in SLC 10 6020 01 in the section labelled, Continuity of Government Business Enterprise Equity.

Line 1870 Gaming and Casino Revenues

Report any Gaming or Casino revenues from the Ontario Lottery and Gaming Corporation on this line.

Line 1890 Other

Enter the amount and description of other sources of operating revenue that are not reported as user fees, service charges or grants in Schedule 12. Include amounts from the sale of other products, including forestry products.

Line 1891-1898 Other: Refer to the description for Line 1890 Other.

Line 1899 Subtotal

The subtotal for other revenue equals the sum of lines 1805 through 1898.

Line 1880 Municipal Land Transfer Tax (City of Toronto Act, 2006)

This line only applies to the City of Toronto. Please enter the Municipal Land Transfer tax revenue on this line.

Line 1886 Transient Accommodation Tax

Enter the total amount of transient accommodation tax revenue on this line.

Amounts transferred to eligible tourism organizations should be entered on Schedule 40, line 1820 column 6; please use schedule 42 lines 5991 to 5993 to enter the name of the tourism organization and the amount of the Transient Accommodation Tax received.

Line 1905 Increase/Decrease in Government Business Enterprise equity

Enter the increase or decrease in government business enterprise equity.

Line 9910 TOTAL Revenues

Total Revenues - line 9910 equals:
Taxation-Own Purpose & Payments-In-Lieu of taxation subtotal – Line 9940
PLUS: Subtotal, Ontario unconditional grants - Line 0699
PLUS: Subtotal, Conditional grants - Line 0899
PLUS: Revenue from other municipalities for Tangible Capital Assets – Line 1098
PLUS: Revenue from other municipalities - Line 1099
PLUS: Total User fees and service charges - Line 1299
PLUS: Subtotal, Licences, permits, rents, etc. - Line 1499
PLUS: Subtotal, Fines and penalties - Line 1699
PLUS: Subtotal, Other revenue - Line 1899
PLUS: Municipal Land Transfer Tax - Line 1880
PLUS: Transient Accomodation Tax - Line 1886
PLUS: Increase in Government Business Enterprise equity – line 1905

CONTINUITY OF ACCUMULATED SURPLUS/(DEFICIT)

Line 2010 PLUS: Total Revenues

This amount is automatically carried forward from line 9910 of this schedule (SLC 10 9910 01).

Line 2020 LESS: Total Expenses

This amount is automatically carried forward from line 9910 column 11 of Schedule 40 (SLC 40 9910 11).

Line 2030 PLUS: Other: Use this line for any adjustments.

Line 2040 PLUS: Other: Use this line for any adjustments**.**

Line 2045 PLUS: PSAB Adjustments: Use this line for any PSAB adjustments.

Line 2099 Annual Surplus/Deficit: This amount is automatically calculated.

Line 2060 Accumulated surplus/ (deficit) at beginning of year

The accumulated surplus or deficit at the beginning of the year is equal to the accumulated surplus or deficit at the end of the previous year.

Line 2061 Prior period adjustments

Please use this line to record any prior year adjustments to the opening accumulated surplus balance.

Line 2062 Restated accumulated surplus/ (deficit) at the beginning of year

This line is automatically calculated.

Line 2063 Other comprehensive income (loss)

Enter comprehensive income or (loss) from the statement of remeasurement gains and losses.

Line 9950 Accumulated surplus/ (deficit) at end of year

Accumulated surplus/ (deficit) end of year – (SLC 10 line 9950 01) equals:

Accumulated surplus/ (deficit), beginning of year – (SLC 10 2060 01)
Plus: Prior Period Adjustments (SLC 10 2062 01)
Plus: Other comprehensive income (loss) (SLC 10 2063 01)
Plus: Annual Surplus/Deficit (SLC 10 2099 01)

The accumulated surplus (deficit) at the end of the year should equal the total accumulated surplus/ (deficit) balance in Schedule 70, Consolidated Statement of Financial Position (SLC 10 9950 01 = SLC 70 9970 01).

CONTINUITY OF GOVERNMENT BUSINESS ENTERPRISE EQUITY

According to the CPA Canada, Public Sector Accounting Handbook, PS 1300.28, a government business enterprise has the following characteristics:

(a) It is a separate legal entity with the power to contract in its own name and that can sue and be sued;

(b) It has been delegated the financial and operational authority to carry on a business;

(c) It sells goods and services to individuals and organizations outside of the government reporting entity as its principal activity; and

(d) It can, in the normal course of its operations, maintain its operations and meet its liabilities from revenues received from sources outside of the government reporting entity.

Municipalities report business government entities on a modified equity basis. This avoids line by line consolidation of the enterprise's operations with the municipality and its local boards. At the same time, reporting on a modified equity basis provides summary information on net assets and net income.

Line 6010 Government business enterprise, beginning of year

This is equal to SLC 70 5080 01 for the previous year.

Line 6020 PLUS: Net income for government business enterprise for year

This refers to the reporting year. This amount refers to net income of the government business enterprise as reported in the financial statements of the enterprise.

Line 6060 PLUS: Other

On this line report any other transactions not reflected in line 6020 that impact the equity of the government business enterprise.

If the municipality is reporting an investment in a government business enterprise for the first time, the net assets of the government business enterprise are reflected on this line as well.

Line 6090 Government business enterprise equity, end of year

This line is equal to the sum of lines 6010, 6020 and 6060.

Also note that this amount is carried forward to SLC 70 5080 01.

Total of line 0899 includes:

PROVINCIAL GAS TAX FUNDING:

Please report the Provincial Gas Tax revenues that are included on Schedule 10-line 0899 column 1 for transit services on the following lines:

Line 4018 Provincial Gas Tax for Transit – Operating expenses

Please report the Provincial Gas Tax revenue that was used for transit operating expenses.

Line 4019 Provincial Gas Tax for Transit – Capital expenses

Please report the Provincial Gas Tax revenue that was used for transit capital expenses.

Line 4020 **Provincial Gas Tax**: This line is automatically calculated.

CANADA GAS TAX FUNDING

Lines 4025 to 4080

Please functionalize the Canada Gas Tax revenues that are included on Schedule 12-line 9910 column 6 on line 4025 to line 4080, of schedule 10.

Also, please functionalize deferred revenue earned (Canada Gas tax) on Schedule 10-line 0831 column 1 on line 4025 to line 4080, of schedule 10.

Line 4099 Canada Gas Tax

Total Canada Gas Tax grant revenues for the year are shown on this line.
This line is automatically carry-forward to Schedule 53-line 0440 column 1.